

BOARD MEETING OF THE CBA

MINUTES

(15.12.2020)

On the Refinancing Rate

The CBA Board Meeting of December 15, 2020 attended by Governor M. Galstyan, Deputy Governors N. Yeritsyan and V. Abrahamyan, and Board Members H. Ghahramanyan, A. Darbinyan, A. Stepanyan, O. Aghasyan, and H. Khachatryan

The Board meeting opened with presentation of the Situation Report as of December 15, 2020. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy in the context of outbreak of the second wave of coronavirus disease, the martial law and its ending, and the impact of high uncertainties about the economic outlook deriving from these developments.

Inflation in November 2020 stood at 1.3% compared to that of 1.1% recorded in the same month last year, in which case the **12-month inflation rate has increased to 1.6%**, staying below the lower part of the confidence band. The month's inflation owed to a 2.8% rise in prices of item "Food products and non-alcoholic beverage", a 0.6% rise in prices of non-food products, and a 0.1% increase in service tariffs. In November, the **12-month core inflation rate** increased as well, amounting nearly to **2.0%** at the end of the month.

The developments in the external sector in the fourth quarter unfolded in the middle of outbreak of the new wave of coronavirus and restrictions that a number of countries have consequently imposed. Uncertainties and risks associated with the global economic development outlook and recovery of aggregate demand have also increased due to this factor. However, this negative impact will decrease to some extent in light of expectations for a possible effective use of the coronavirus vaccines in early 2021, which has already begun to be reflected in inflation trends in main commodity markets. Nevertheless, out of main partners to Armenia, in the USA and the EU inflation is still below the target, and there central banks will therefore continue carrying out a stimulative monetary policy. Whereas inflation in Russia has somehow grown high, and to contain it, the Central Bank of Russia will soon be choosing to let the stimulative monetary policy phase out.

More extensive was the discussion around Armenia's economic developments, as a new wave of the coronavirus pandemic in the fourth quarter came about with a martial law declared in the Republic of Armenia after Azerbaijan's large-scale attack on September 27th along the entire line of contact in the Artsakh Republic. It was noted, in the first place, that economic developments in the third quarter were in line with the Central Bank's forecasts, with economic growth of -9.1% due to decreased output in all sectors. Driven by negative impact of the above-mentioned factors, the Board admitted, economic activity remained low and domestic demand weak in the fourth quarter, while uncertainties over the economic outlook have also grown to some extent. In such a circumstance, a deeper decline is expected in all sectors of the economy - the services in particular - by the end of the year, which will be reflected in both supply and demand factors. In the fourth quarter, the Government continued implementing a stimulative fiscal policy, and the decline in remittances from abroad proved smaller than expected, which somehow mitigated the negative impact of the above factors on domestic demand. In this situation, the economic growth estimate for 2020 remained intact and is expected in the region of -7.2%. Looking to the inflationary risks accumulated in the Armenian economy in the fourth quarter and a consequent increase in inflation expectations, the Board stated that this had been fueled by the rise in prices of some goods importable amid price increases observable in food product and commodity markets of the world, depreciation of the dram and currently high uncertainties. Although, it was recorded, some acceleration of inflation is anticipated, it will remain manageable, and no risks to unanchored inflation expectations, including as a result of adequate actions of the Central Bank, will emerge.

Talking about the situation in Armenia's financial market in the fourth quarter, the Board noted that under martial law the demand for dram liquidity had increased to a certain extent and been fully satisfied by the Central Bank: short-term market rates stayed floating around the CBA refinancing rate, as a result. Also, driven by the martial law-induced risks, an increase in the country's risk premium was observable in international capital markets in October, which has notably decreased in November-December, making Armenia's entry into these markets possible. In the meantime, it was recorded, yields on government bonds, grown from short-term to long-term along the entire curve, pointed out to the accumulation of domestic risks. The uncertainties over an economic and political outlook have had repercussions in the Armenian currency market, where some depreciation of the local currency, the dram, had been registered. Committed to a floating exchange rate policy, the CBA has had a small situational participation in the currency market in order to remedy momentary disruptions in the financial market activity.

In the fourth quarter, it was noted, interest rates on loans and deposits behaved steadily in the banking system. Despite some slowing in the momentum, the economy lending through the banking system, where contribution to economic support programs remains critical, continued over the quarter.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began addressing the monetary policy directions and making decision on the interest rate. As the inflation was predicted to somehow accelerate in view of inflationary pressures expected from the external sector, and given Armenia's increased risk premium and current uncertainties, the **Board considered the option of raising the refinancing rate by 1.0 pp.** And even with such an increase of interest rate, the Central Bank was thought to be maintaining the stimulative stance of monetary policy, which, coupled with a substantial fiscal stimulus, will be good for further economic activity and restoring of domestic demand. While unanimous in raising the refinancing rate, the Board's votes went divided over the extent of the increase. In the current situation, some members of the Board believed, it's necessary to raise the refinancing rate by a larger step to exclude risks that inflation expectations would become unanchored in the face of depreciating dram exchange rate and inflationary developments. Others, drawing on inflation expectations strongly anchored thanks to a low-inflation policy in recent years, were more for a small-step increase. As a result, the CBA Board decided by a majority of votes **to raise the refinancing rate by 1.0 pp, while estimating that the monetary policy's stimulative stance will need to be reduced gradually over the forecast horizon** to help the inflation stabilize around the 4% target.

With economic outlooks under high uncertainty, the Board thinks that short-term risks to inflation deviating from the path trend upside, so the Central Bank carefully follows the developments and stands ready to respond to them accordingly, ensuring price stability in the medium term.

The Board approved the decision on interest rates of the CBA monetary instrument and the proposed press release, which are attached hereto.

The Central Bank of the Republic of Armenia

Board Decision

Interest Rates on Central Bank of Armenia Operations in the Financial Market

By virtue of Article 2 (3), Article 20 “c” and “e” of the Republic of Armenia Law on the Central Bank, and clauses of the Republic of Armenia Law on Normative Regulations, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Set the Refinancing rate of the Central Bank of the Republic of Armenia to be 5.25%.
2. Set the Lombard facility rate offered by the Central Bank of the Republic of Armenia to be 6.75%.
3. Set the Deposit facility rate offered by the Central Bank of the Republic of Armenia to be 3.75%.
4. This decision takes force on the day following its publishing on Internet homepage of the Central Bank of the Republic of Armenia.

Martin Galstyan,
Governor of the Central Bank

December 15, 2020

c. Yerevan

PRESS RELEASE
15.12.2020

At the December 15, 2020 meeting the Board of the Central Bank of Armenia decided to raise the refinancing rate by 1.0 percentage point to 5.25%.

Inflation in November 2020 stood at 1.3%, compared to 1.1% in the same month of the previous year. As a result, the 12-month inflation amounted to 1.6%, still below the 4% target. In November, the 12-month core inflation also continued rising, which at the end of the month stood at about 2.0%.

In the fourth quarter, the world economy developments were mainly affected by the new wave of coronavirus pandemic and the coronavirus-related restrictions in some countries, which had a negative impact on global demand and economic activity. On the other hand, expectations about the possible effective use of vaccines since the beginning of 2021 have created a positive momentum for the outlook of global demand. Under such circumstances, inflationary trends have been recorded in both international commodity and food product markets, which is gradually fueling the inflationary environment of the partner countries. Based on these developments, the CBA Board expects some inflationary impact from the external sector on the Armenian economy.

In Armenia in the third quarter, in line with the CBA forecasts, a y/y 9.1% economic decline was registered, caused by decreases in all sectors of the economy, and services in particular. In the fourth quarter, due to the negative impact of the announced military situation in Armenia, the outbreak of a new wave of coronavirus pandemic, as well as heightened uncertainty, sluggish economic activity and weak domestic demand are expected to persist. On the other hand, implementation of the expansionary fiscal policy will continue contributing positively to aggregate demand. Under such conditions, the estimates of annual economic growth for 2020 have not been revised.

Taking into account some acceleration of inflation amid the expected inflationary effects from the external sector and considering the increase of the country's risk premium, the CBA Board considers it appropriate to raise the refinancing rate. The Board also reckons that the monetary policy stance still remains expansionary, which will need to be gradually reduced over the forecast horizon, in order to stabilize inflation around the 4% target.

The Board considers that, in view of high uncertainties about economic growth outlook, risks of inflation deviating from the projection path are on the upside in the short run. The Central Bank is monitoring the developments, and should they unfold, the CBA will stand ready to react accordingly, ensuring price stability in the medium run.

Press Service of the Central Bank of Armenia